EthosiFi Vault

$ETHOS Token — Tokenomics & Ecosystem Model

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1. Overview

$ETHOS is the native utility token of the EthosiFi Vault protocol — the world's first smart-contract-layer wallet security system. Every subscription payment, staking action, and security event interacts with $ETHOS, creating a self-reinforcing economic flywheel where security adoption drives token scarcity.

Total Supply: 100,000,000 $ETHOS (fixed — no inflation, ever.)

Token Standard: ERC-20 with native burn mechanic

Network: Ethereum mainnet (cross-chain expansion: Base, Polygon, Arbitrum)

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2. Purpose & Design Philosophy

$ETHOS is engineered around one core principle: every real user interaction permanently destroys tokens. This means:

- More vaults created = more $ETHOS burned = less supply = higher scarcity
- Users become token holders aligned with protocol growth
- No inflationary rewards — value accrues through deflation and utility
- Security and financial alignment merge into one incentive system

EthosiFi Vault is built to make security profitable and getting hacked the expensive outlier.

3. Token Allocation

Allocation	%	Amount	Unlock / Vesting	Purpose
Vault Security Rewards Pool	40%	40,000,000	Non-transferable credits to early vault users. 100 $ETHOS burned per subscription redemption.	Direct deflation tied to real vault usage
Protocol Treasury	20%	20,000,000	Gnosis Safe multi-sig. Milestone & DAO governed post-mainnet.	Audits, development, security grants, chain expansions
Core Team	20%	20,000,000	10M unlocked at TGE. 10M linear vest over 36 months with 6-month cliff.	Immediate runway + long-term alignment
Ecosystem Growth	10%	10,000,000	Released via grants, LP incentives, builder rewards, chain partnerships.	Accelerates adoption & network effects
Early Contributor Round	5%	5,000,000	Fully unlocked at TGE. Fixed price capped round.	Rewards early believers, no insider advantage
Public Launch	5%	5,000,000	Fully unlocked at TGE. No pre-sales, no insider advantage.	Open community access at launch

4. Core Burn Mechanic

4.1 How Burns Work

Every Pro or MVP subscription paid in $ETHOS triggers a permanent on-chain burn. There is no staking reward pool, no team unlock tied to burns — 100% of subscription $ETHOS is destroyed forever.

- Pro subscription: 100 $ETHOS burned per month per user
- MVP stake: 100 $ETHOS burned per month (from staking rewards)

- LP Provider: 100 $ETHOS burned per month
- Emergency security events: Additional burns triggered by protocol usage

4.2 Burn Milestones

Active Vaults	Monthly Burns	Cumulative Burned	Supply Reduction
1,000	100,000 $ETHOS	100,000	0.1%
10,000	1,000,000 $ETHOS	1,000,000	1.0%
50,000	5,000,000 $ETHOS	5,000,000	5.0%
100,000	10,000,000 $ETHOS	10,000,000	10.0%
400,000	40,000,000 $ETHOS	40,000,000	**40.0% — Full pool burned**

4.3 The Burn Flywheel

More users → more burns → less supply → price appreciation → more users attracted by token value → more burns. This is a self-reinforcing loop that ties protocol security adoption directly to token value.

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5. Membership Tiers & $ETHOS Integration

Tier	USD Option	$ETHOS Option	$ETHOS Burned	Perks
Free	$0	$0	None	10 sponsored tx/month
Pro	$9.99/mo	Burn 100 $ETHOS/mo	100 $ETHOS	Unlimited tx + all security modules
MVP	Hold 10,000 $ETHOS	Stake 10,000 $ETHOS	100 $ETHOS/mo	Free Pro + NFT Badge + Governance votes + yearly discount
LP Provider	Add to $ETHOS/USDC pool	Minimum $500 liquidity	100 $ETHOS/mo	Free Pro + Enhanced NFT Badge + Governance + LP rewards

5.1 MVP Badge NFT

MVP members receive a soulbound ERC-721 NFT badge that:

- Cannot be transferred — tied permanently to the holder's vault address
- Displays on-chain proof of MVP status
- Unlocks governance voting rights proportional to $ETHOS staked
- Shows enhanced security tier to counterparties in transactions
- LP Providers receive a gold-tier enhanced badge variant

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6. Staking & Liquidity

6.1 Staking

- Stake 10,000 $ETHOS → Activate MVP membership
- Staked tokens are locked — reduces circulating supply
- Monthly burn of 100 $ETHOS from staking rewards
- Unstaking requires 7-day cooldown period
- Governance rights proportional to stake size

6.2 Liquidity Pool

- $ETHOS/USDC pool on Uniswap V3
- EthosiFi Protocol Treasury seeds initial liquidity
- LP providers earn trading fees + MVP membership + enhanced NFT badge
- Minimum LP contribution: $500 USDC equivalent
- LP position monitored on-chain — removal triggers membership pause

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7. Governance

MVP token holders vote on protocol decisions proportional to their $ETHOS stake:

- New security module prioritization
- Chain expansion roadmap (Base, Polygon, Arbitrum, Solana)
- Threat registry governance — flagging and approving threat reporters
- Treasury allocation — grants, audits, partnerships
- Fee parameter adjustments — subscription prices, burn rates

Governance launches post-mainnet once 1,000 MVP holders are active. All votes are on-chain via the EthosGovernance contract.

8. Vesting Schedule

- Vault Security Rewards Pool (40%): No vesting — distributed as non-transferable credits to early vault users
- Protocol Treasury (20%): Milestone-based unlocks, Gnosis Safe multi-sig controlled
- Core Team (20%): 10M at TGE, 10M linear vest 36 months with 6-month cliff
- Ecosystem Growth (10%): Released via grants and incentive programs as milestones hit
- Early Contributor Round (5%): Fully unlocked at TGE — fixed price capped round
- Public Launch (5%): Fully unlocked at TGE — no pre-sales, no insider advantage

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9. Smart Contract Architecture

The $ETHOS ecosystem consists of 5 dedicated contracts:

- EthosToken.sol — ERC-20 with native burn mechanic, fixed 100M supply
- EthosStaking.sol — Stake for MVP membership, governance rights, NFT badge
- EthosMVPBadge.sol — Soulbound ERC-721 NFT, non-transferable MVP proof
- EthosGovernance.sol — On-chain voting proportional to stake
- EthosLiquidityManager.sol — LP tracking, membership activation, reward distribution

All contracts are ERC-7579 compatible and integrate directly with EthosiFi Vault modules.

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10. Why This Model Works

- **40% of supply is deflationary by design — tied to real usage not speculation**
- **No VC dumps — early contributor round is capped and fixed price**
- **Team has skin in the game — 36-month vest with cliff**
- **Users become co-owners — governance rights create stakeholder community**
- **Subscription burn creates predictable deflation tied to user growth**
- **NFT badge creates social proof and identity — free organic marketing**
- **LP ownership means EthosiFi controls its own liquidity — no VC dependence**

EthosiFi Vault — The Unstealable Wallet.

Security enforced at the blockchain layer. Value accrued by the community.